

Independent Valuation Study — Educational Analysis

GB Corp S.A.E. (EGX: GBCO)

Fundamental analysis · Technical analysis · Monte Carlo simulation — one integrated read · edition 07-09-2026 · 7 September 2026

Anchor: EGP 28.98 (3 September 2026 close) · 1,085.5 mn shares · market capitalisation EGP 31.5 bn · the continuing listed entity of the former GB Auto (Ghabbour), renamed GB Corp in 2023, housing **GB Auto** (passenger cars, commercial vehicles & construction equipment, tires & trading, light mobility; Egypt · Iraq · Jordan), **GB Capital** (leasing, factoring, consumer finance, SME lending) and associate stakes led by **MNT-Halan** · the price cone and the technical read are computed on the exchange library's own last session, EGP 29.51 on 23 August 2026, and the valuation is struck on the later price above — two clocks, both dated · primary lens: split-the-legs sum-of-the-parts (operating company + captive lender) · the MNT-Halan stake mark remains the dominant swing factor, ahead of Auto cash conversion and the Egyptian nominal-rate path.

READ FIRST — what this document is, and is not.

This study is a valuation exercise and an expression of personal analytical opinion, published free of charge for educational purposes: it shows how one analyst applies fundamental, technical and probabilistic methods to a listed company, and invites scrutiny of that methodology. It is NOT investment advice, NOT a recommendation or solicitation to buy, sell or hold any security, and NOT directed at the circumstances of any reader. The preparer is not licensed by any securities regulator in any jurisdiction, holds no Egyptian (FRA) or other brokerage or advisory authorisation, provides no financial consultancy, manages no money, and accepts no fees, funds or clients. See the Disclosure & Disclaimer at the end.

All values are model outputs presented as ranges and distributions because no single number should be relied on. Reported financials are the company's own disclosure — the FY2023, FY2024 and FY2025 earnings releases and the reviewed consolidated statements to 30 June 2026; forward-looking inputs — the marks on GB Capital and the MNT-Halan stake, the complexity discount, the multiples, the cash-flow model and the simulation's factor probabilities — are the preparer's judgments and are flagged throughout. The far forecast years are published as ranges rather than points, taken from how wrong this method has been on this company's own history; Appendix A carries the table and the count behind each band. A note on identity: GB Corp S.A.E. is the renamed GB Auto S.A.E. (Ghabbour Auto); the EGX ticker is GBCO and the price history continues the former AUTO listing. Consult a licensed financial advisor before any investment decision.

Headline

The model reads GB Corp below its central estimate, and the whole of that distance sits in one line nobody can trade. At EGP 28.98 the shares sit 53% below a central estimate of EGP 44.33. The four reads spread wider than usual: the split-the-legs sum-of-the-parts lands at EGP 53.53 after a 10% complexity discount (pre-discount EGP 59.47); a relative read on forward earnings marks EGP 28.88, essentially the traded price; and a normalised mid-cycle read sits at EGP 32.89. The disagreement is not four methods arguing about an operating business. It is two reads that carry GB Corp's associate stake and two that do not. GB Corp's own 9 June 2026 press release states its MNT-Halan holding directly — 41.61%, against 42.58% before that transaction. Applied to the round's USD 1.4 bn valuation at EGP/USD 47.5, the stake alone marks at EGP 27.7 bn — 88% of GB Corp's entire market capitalisation. That is a confirmed, dated, company-stated figure rather than a sourcing gap, and it is what makes this study awkward rather than simply bullish: taken at face value it implies the market pays

close to nothing for a profitable auto business that turned over EGP 80.2 bn last year. Either the market applies a far steeper discount to that private mark than this study's 10%, or GB Corp is mispriced. This study does not settle which; \$7 returns to it. The tape is no longer the counter-argument it was. On the library's last session the price sat below its twenty- and fifty-day averages, with the oscillator at 40 and the moving-average convergence histogram negative — a stock that has come off, not one that is extended. Over three months the simulation places the fifth-to-ninety-fifth percentile band at roughly EGP 21–44 with a median near EGP 30; that engine prices the stock's own path and is untouched by anything in the paragraph above.

Valuation summary — every read at a glance

One table for the reads that follow — what the business is worth (fundamental), what the tape is doing (technical), where price could travel over three months (the simulation), and how three independent expert methods land. Every row is developed in the sections and appendices below.

Lens / read	What it measures	Output	Against the price
FUNDAMENTAL — what the business is worth (the anchor)			
Split-legs sum-of-the-parts (primary)	Auto cash-flow model + lender book + associate marks, less the discount	EGP 53.53	+85%
Pre-discount net asset value	The same legs, no complexity discount	EGP 59.47	+105%
Relative multiples	FY2026E earnings per share × a justified multiple	EGP 28.88	-0%
Normalised earnings	Mid-cycle profit × a through-cycle multiple	EGP 32.89	+13%
Weighted central	Blend 40% / 15% / 20% / 25%	EGP 44.33	+53% vs EGP 28.98
TECHNICAL — what the tape is doing (timing, not value)			
Trend	Close EGP 29.51 against the 20/50/100/200-day averages	Below the two short, above the two long	Trend intact, momentum lost
Momentum / range	Relative strength · convergence · 52-week range	RSI 40 · histogram -0.27 · 19.10–34.20	Soft, not oversold
SIMULATION — where price could go in 3 months (paths from the anchor)			
1 month	50,000 paths · sixteen factors	p5 23.6 · p50 29.4 · p95 36.6	Median above the anchor
3 months	same engine, longer horizon	p5 20.6 · p50 30.1 · p95 44.1	Wide, right-skewed
EXPERT PANEL — three independent methods (Appendix D)			
Expert 1 — split-legs net asset value	Marks each leg; argues the discount	EGP 54.72	Most bullish
Expert 2 — normalised earnings power	Mid-cycle profit × multiple, stake-blind	EGP 32.89	Most conservative
Expert 3 — cash returns	Economic profit on capital	EGP 39.47	In between

(return on capital vs its cost)	employed		
Panel range	The spread is the MNT-Halan mark	EGP 32.89–54.72	Middle read EGP 39.47

Bottom line. Every disagreement in that table traces to one question, and it is not what GB Corp owns. The central sits at EGP 44.33 against EGP 28.98, +53%; the three experts span EGP 32.89 to 54.72; and the two reads that never touch the associate stake — relative at EGP 28.88 and normalised at EGP 32.89 — sit within 13% of the traded price. Strip the stake out and this is an operator priced about right. Put it back in at the round's own valuation and the shares look materially cheap. The three-month distribution is indifferent either way: it prices the stock's own measured path, and its median sits above the anchor only because that measured drift survived the calibration test in Appendix B, by a margin that appendix states rather than flatters.

Company overview — GB Corp at a glance

Item	Value
Listed entity	GB Corp S.A.E. (EGX: GBCO; formerly GB Auto / Ghabbour Auto, AUTO)
What it owns	GB Auto (passenger-car assembly & distribution, commercial vehicles & construction equipment, tires & trading, light mobility) · GB Capital (Drive Finance, GB Lease & Factoring, rentals, Kredit) · associates: MNT-Halan, Bedaya, Kaf
Price / date	EGP 28.98 · 3 September 2026 close
Shares · market capitalisation	1,085.5 mn · EGP 31.5 bn
FY2025 revenue / net profit	EGP 80,229.8 mn (+49% year on year) · EGP 2,880.0 mn (3.6% of revenue)
1H2026 revenue / net profit	EGP 48,474.4 mn · EGP 1,262.0 mn (reviewed, six months to 30 June 2026)
Group gross margin, FY2023 / FY2024 / FY2025	24.31% / 19.48% / 15.49%
GB Auto gross margin, reviewed half to 30 June 2026	14.30% — the segment revenue and gross profit the release prints for the half
Auto net debt · group equity (30 June 2026)	EGP 14,623.7 mn · EGP 35,127.9 mn
52-week range (library, 23 August 2026)	EGP 19.10 – 34.20
MNT-Halan stake	41.61%, stated by the company on 9 June 2026, against 42.58% before that transaction

Source: the company's own FY2023, FY2024 and FY2025 earnings releases; its 2Q/1H2026 release of 13 August 2026 and the reviewed consolidated statements to 30 June 2026; the MNT-Halan transaction release of 9 June 2026; and the exchange price library. Every figure in this table is read from the study's committed record.

1 Fundamental valuation

We value GB Corp as an operating company with a captive finance arm and split the legs: blending an auto assembler-distributor, a leveraged lender and an unlisted fintech associate into one multiple would blur three different economics. The primary lens is therefore a split-legs sum-of-the-parts — the Auto operating leg on a free-cash-flow model; GB Capital on its adjusted operating book times a return-justified multiple; the MNT-Halan-led associate stakes at GB Corp's own stated ownership applied to the June 2026 funding round. A relative-multiple read and a normalised mid-cycle read complete the set. The weights and the football field are in §1.5, and §1.5 also states plainly what those weights are and are not.

1.1 Split-the-legs sum-of-the-parts — the primary lens

Each leg is marked on the basis that fits it. The Auto leg takes the \$1.2 cash-flow value. GB Capital is marked on the company's own adjusted-return equity base — the disclosure that strips the MNT-Halan revaluation out of the equity denominator — at EGP 9,500 mn, one times book, the return-justified multiple for a mid-teens-return lender whose margin benefits from the easing cycle. The associates are marked by applying GB Corp's own stated stake to the June 2026 funding round: USD 1.4 bn × 41.61% × EGP/USD 47.5. Within the associates line MNT-Halan is 99% of the value, with Bedaya and Kaf the EGP 390 mn residual. From the sum we deduct a 10% complexity discount for the wrapper: an auto operator, a non-bank lender and an unlisted fintech in one listing will not trade at the clean sum of its parts.

Leg (base case)	Basis	Value (EGP mn)
GB Auto operating leg	Free-cash-flow model (\$1.2): enterprise value 42,212 less net debt 14,624 less minority 591	26,998
GB Capital lending leg	Adjusted operating book 9,500 × 1.0×	9,500
Associate — MNT-Halan (41.61%, stated 9 June 2026)	USD 1.4 bn June-2026 round × 41.61% × 47.5 EGP/USD	27,671
Other associates (Bedaya, Kaf)	Residual carrying value	390
Σ Equity value (pre-discount)	= EGP 59.47 / share	64,558
less: complexity / conglomerate discount	10%	(6,456)
Sum-of-the-parts equity value	= EGP 53.53 / share	58,102

Sum-of-the-parts base EGP 53.53 per share, with a bear-bull span of EGP 27.99–90.71 — driven mainly by the discount applied to the MNT-Halan mark and by the Auto margin and working-capital path (\$1.9). The market-implied read is a puzzle rather than a sourcing question: market capitalisation less the lender and the associates at the stated stake implies a deeply negative value for the Auto leg, which is impossible for a profitable business turning over EGP 66.4 bn. The honest readings are that the market applies a much steeper discount to this private mark than this study's 10%, that it does not accept the round's valuation as transferring to a minority holder, or that GB Corp is mispriced. §7 discusses which is most plausible.

What the MNT-Halan stake is worth inside this valuation

Because this single line dominates the whole valuation, here is its exact footprint, on the company's own stated figure:

MNT-Halan in the GBCO valuation	Value
Value at the June-2026 round (41.61% stake)	USD 1.4 bn × 41.61% × 47.5 = EGP 27,671 mn
Per share, pre-discount	EGP 25.49 — 43% of the EGP 59.47 pre-discount net asset value
Per share, after the 10% discount	EGP 22.94 — the same 43% share of the EGP 53.53 sum-of-the-parts
As a share of the market price (EGP 28.98)	79% of market capitalisation — the puzzle, stated
Every 5 percentage points of stake	EGP 2.76 per share of sum-of-the-parts value

The market-cap puzzle — what the stated stake actually implies

The stake is a stated number; the residual uncertainty sits in the mark and the discount. The table below prices the stake question anyway, because it shows the slope a reader is arguing about:

GB stake in MNT-Halan	MNT-Halan value (EGP mn)	Fair value per share	Note
20.00%	13,300	41.61	a placeholder used in an early draft — superseded
25.00%	16,625	44.37	
30.00%	19,950	47.12	
35.00%	23,275	49.88	
40.00%	26,600	52.64	
42.58%	28,316	54.06	the pre-transaction figure, superseded
41.61%	27,671	53.53	stated by the company, 9 June 2026 — base case

In plain terms: the open question is not what GB Corp owns but what that ownership is worth, and why the market does not price it at face value. A 41.61% stake in a company marked at USD 1.4 bn is worth 79% of GB Corp's entire market capitalisation — either the market applies a private-mark discount this study's 10% does not capture, or GB Corp is mispriced. The bear case in §1.5 reflects the former through a much heavier discount on the stake; the base case takes the stated number at the round's valuation. §7 returns to this as the study's central open question.

1.2 The Auto-leg cash-flow model

The Auto leg is built bottom-up on disclosed units × average selling price per line of business: volumes and revenue are published per line, so the price is arithmetic rather than an assumption, and the driver table is in §1.6 and Appendix A. Gross margin opens at 13.80% and settles at 14.50%; selling and administrative cost holds near 7.3% of revenue; capital expenditure follows the EGP 3,000 mn guided for the first year and then normalises; and the crux — net working capital — glides from 26.5% of revenue to 21.5% as the payables re-extension completes and the Sadat stock build unwinds. The cost of capital is not one crisis rate held for ever: it is a schedule, built through the house cost-of-capital module from a normalised risk-free rate of 19.59%, a regression beta of 0.8907 and an equity risk premium of 9.41%, gliding from 22.88% in the first forecast year to a norm-built terminal of 14.18%. Terminal growth is stored as a REAL rate of 0.0% on the house Egyptian inflation path and recomputes to 7.00% nominal; it is not a typed nominal figure. §1.8 carries the whole build.

EGP mn	FY26E	FY27E	FY28E	FY29E	FY30E
Auto revenue	78,550	95,736	112,459	128,714	144,761
Operating profit before depreciation	6,677	8,616	10,571	12,228	13,752
Depreciation & amortisation	(864)	(1,053)	(1,237)	(1,416)	(1,592)
Operating profit	5,813	7,563	9,334	10,812	12,160
Operating profit after tax at 28%	4,185	5,445	6,721	7,785	8,755
+ Depreciation & amortisation	864	1,053	1,237	1,416	1,592
– Capital expenditure	(3,000)	(2,400)	(2,500)	(2,600)	(2,800)

– Change in working capital	(1,899)	(3,118)	(2,494)	(2,533)	(2,163)
Free cash flow to the firm	151	980	2,964	4,068	5,384
Discount factor	0.814	0.680	0.579	0.502	0.440
Present value of free cash flow	123	666	1,717	2,042	2,367

The discount factors are the cost-of-capital schedule's own cumulative factors, one forward rate per year; they are not a single rate compounded.

Bridge to the Auto leg's equity value	EGP mn
Σ present value of explicit free cash flow	6,915
Terminal value at 7.00% nominal growth	80,285
Present value of the terminal value	35,297
Enterprise value — Auto leg	42,212
Terminal value as a share of enterprise value	84%
less: Auto net debt	(14,624)
less: Auto non-controlling interests	(591)
Auto equity value	26,998

Two honesty notes. First, 84% of the enterprise value sits in the terminal value — this is a growth-and-rates bet dressed as a five-year model, which is why \$1.9 sensitises the discount-rate and terminal-growth grid rather than hiding it. Second, the explicit-period cash flow is thin in the first year (EGP 151 mn) precisely because growth consumes working capital; the value is in the steady state, not the ramp. Both are disclosed rather than blended away.

A third note, and it is a refusal rather than a caveat. The house standard is that a terminal rests on a DISCLOSED asset life, and no usable life could be sourced for this company: the accounting-policy note discloses rate RANGES by asset class rather than a scalar, and the identity route — recovering an implied life from the property, plant and equipment note — returns a span that depends on an undisclosed land split and produces per-class rates that contradict the disclosed bands. A life this desk chose would not be a disclosed life, so none was chosen; the terminal is carried on the construction described above and the refusal is recorded rather than papered over. Appendix B states what that leaves open.

1.3 Relative multiples

On the model's own forward build — group net profit attributable of EGP 3,300 mn in the first forecast year, earnings per share of EGP 3.04 — GB Corp trades at 9.5× forward earnings. A justified multiple for the blend — an emerging-market auto distributor plus a mid-teens-return non-bank lender, with an unlisted fintech kicker — is taken at 8.0–11.0×. The lens is marked on the forward earnings per share.

Relative basis	Bear	Base	Bull
FY2026E net profit (EGP mn)	3,300	3,300	3,300
Earnings per share (EGP)	3.04	3.04	3.04
Justified multiple	8.0×	9.5×	11.0×
Fair value (EGP/share)	24.32	28.88	33.44

Relative base EGP 28.88 — the most conservative read, -0% against the price, and probably where a sceptic anchors: it pays for this year's earnings and gives nothing for the working-capital release or the associate stake.

1.4 Normalised earnings power — where this sits in the cycle

Cycle position first. The passenger-car volume disclosed for FY2025, 56,548 units, is 2.1 times the FY2023 figure of 26,994 — a recovery that is mid-cycle rather than late-cycle. Margins are past their peak, and the company's own filed record says so: group gross margin ran 24.31% in FY2023 and 19.48% in FY2024, both carrying an import-scarcity windfall, against 15.49% in FY2025; on the auto leg alone the reviewed half to 30 June 2026 ran 14.30%. Mid-cycle earnings power therefore blends recovering volumes with normalised margins at EGP 4,200 mn of group profit after tax, against the EGP 2,880.0 mn reported for FY2025.

Normalised-earnings basis	Bear	Base	Bull
Mid-cycle profit after tax (EGP mn)	3,600	4,200	4,800
Earnings per share (EGP)	3.32	3.87	4.42
Justified multiple	7.5×	8.5×	9.5×
Fair value (EGP/share)	24.87	32.89	42.01

Normalised base EGP 32.89 — +13% against the price: in effect the bet that the volume recovery completes while margins hold the post-windfall floor. Like the relative read, it never touches the associate stake.

1.5 Synthesis — the four reads, and what the weights are not

The sum-of-the-parts carries the heaviest weight because it respects the differing economics of the legs; the pre-discount net asset value carries the discount-narrowing case; the relative read anchors the floor; normalised earnings carries the recovery. That is the construction this edition publishes, and the honest thing to say about it is that the weights were chosen and written down and have never been tested out of sample against any alternative. Two of the four reads value this group off reported and mid-cycle earnings and do not touch the associate stake at all, so 45% of the weight sits in reads that are structurally blind to the largest asset on the page. A reader who wants the number that is not a blend should take the primary read, EGP 53.53, and treat the rest of the table as cross-checks; the difference is 20.7% of the central and it is recorded rather than argued away.

Lens	Weight	Bear	Base	Bull
Split-legs sum-of-the-parts	40%	27.99	53.53	90.71
Pre-discount net asset value	15%	34.14	59.47	94.49
Relative multiples	20%	24.32	28.88	33.44
Normalised earnings	25%	24.87	32.89	42.01
Weighted central		27.40	44.33	67.65

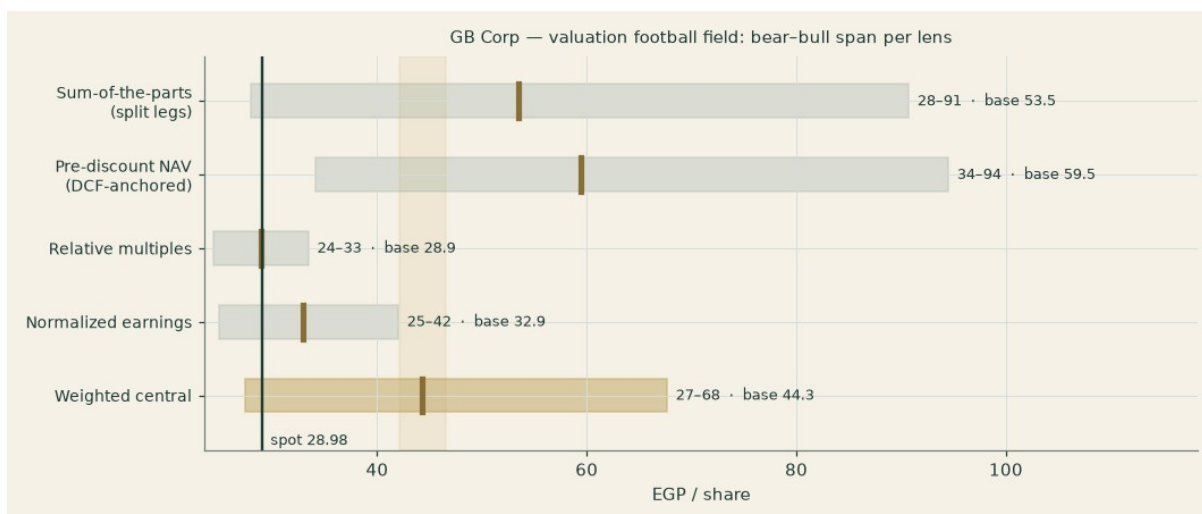


Figure 1 — Valuation football field. Bars span bear to bull per lens; the brass tick is each base case; the gold band is the blended central range; the ink line is the price.

Central fair value EGP 44.33 per share, +53% against the price. The width here is not four independent views converging. The sum-of-the-parts and pre-discount reads (EGP 53.53 and 59.47) both carry the same MNT-Halan mark and move together with it, while the relative and normalised reads (EGP 28.88 and 32.89) do not touch it and sit close to the price. That split is itself the finding: strip the associate stake out and this is a fairly-priced operator; put it back in at the round's valuation and it looks materially cheap.

1.6 The legs, and the units × price driver table

Leg	Cyclicality	Margin / return trend	Capital intensity	Swing role
GB Auto — passenger cars	High (rates, currency, imports)	Auto gross margin 14.30% in the reviewed half; the forecast opens at 13.80%	Very high (working capital)	Dominant
GB Auto — commercial vehicles, trading, mobility	Moderate	Bus exports scaling	Moderate	Diversifier
GB Capital	Credit cycle	Adjusted return on equity in the mid teens	Leveraged by construction	Compounder
Associates (MNT-Halan and others)	Venture-like	Private marks; no public price	Off balance sheet	The swing factor

The bottom-up build. Every historical figure below is the company's own disclosure; the forecast columns are the model's own driver path:

Driver	FY2023	FY2024	FY2025	FY2026E	FY2030E
Passenger-car volume (units)	26,994	42,043	56,548	63,334	90,921
Passenger-car price (EGP mn/unit)	0.61	0.87	0.93	0.99	1.27
Passenger-car revenue (EGP mn)	16,544	36,533	52,827	62,717	115,821

Commercial vehicles & equipment	—	—	5,957	7,818	14,921
Light mobility	—	—	2,204	3,008	6,217
Trading (tires and parts)	—	—	4,243	5,007	7,803
GB Auto total revenue	—	—	66,358	78,550	144,761

Sources: the company's own FY2023, FY2024 and FY2025 earnings releases, segment volume and revenue tables. A dash marks a line the study's committed record does not carry for that year rather than a nil figure — the segment split is disclosed for the base year and this study does not reconstruct the earlier years it did not source. The forecast columns are the model's own driver path.

1.7 The crux: the mark and its discount, then cash conversion and the rate path

Three judgments drive this valuation, in order of size. First and by a wide margin: not what GB Corp's MNT-Halan stake is — the company stated it — but what a private mark that large should be discounted by, given that taking it at face value makes the stake worth 79% of the entire market capitalisation. This study applies a 10% complexity discount uniformly across all three legs; a reader who believes the market applies a much steeper illiquidity and minority discount specifically to that mark should treat the bear case, not the base case, as the more realistic anchor. Second, where Auto working-capital intensity settles: it is modelled from 26.5% of revenue down to 21.5%, and each point of steady-state intensity moves the operating leg materially — \$1.9 prices the whole grid rather than a single point estimate of that effect. Third, the Egyptian nominal-rate path: the schedule glides from 22.88% to 14.18% against terminal growth of 7.00%, a terminal real spread of 7.18%, and every 100 basis points the easing cycle takes out of that spread is worth what the \$1.9 grid shows. A fourth exposure is regional: part of passenger-car revenue is Iraq and Jordan, where conflict has already cut volumes, and this study does not hold a sourced split of that revenue for the reviewed half, so it is named as an exposure and not priced.

1.8 Macro and country — rates, the pound, and the cost of capital

GB Corp is a leveraged play on Egyptian nominal normalisation. Every cut lowers GB Capital's funding cost on a fixed-rate lending book, lowers the customer's instalment, and compresses the discount rate this study applies. The pound sets assembly input costs and the pound value of the MNT-Halan mark; a step devaluation is the single nastiest macro scenario for both margin and multiple. The cost-of-capital build below is produced by the house module rather than assembled by hand, and the whole schedule is published — not one rate held for ever:

Cost-of-capital build	Value	Source
Observed risk-free rate	23.00%	Egypt 10-year local-currency government bond yield, house macro path
less: Egypt's own sovereign default spread	3.41%	so country risk is counted exactly once, inside the premium below
Normalised risk-free rate	19.59%	the difference of the two rows above
Equity beta	0.8907	own-stock weekly regression against the published EGX30 index
Equity risk premium (market basis, adopted)	9.41%	the sovereign's own row, read for this country
Equity risk premium (rating basis, alternative)	13.94%	same source, rating-based column; published beside the adopted basis

Cost of equity, explicit window	27.97%	reproduces from the normalised rate plus beta times the premium; 29.05% on the rating basis
Pre-tax cost of debt	26.53%	the company's own effective borrowing rate, computed on the borrowings that actually bear the interest
After-tax cost of debt	19.10%	debt is entirely local-currency on the disclosed facility note
Weights (equity / debt)	42.5% / 57.5%	market capitalisation against disclosed borrowings
Weighted cost of capital, first forecast year	22.88%	23.33% on the rating-based alternative
Weighted cost of capital, terminal	14.18%	norm-built, reached by a glide inherited from the policy-rate path
Terminal growth (real, then nominal)	0.0% → 7.00%	stored as a real rate on the house inflation path and recomputed; never typed as a nominal figure

Three honesty notes on this build. First, the beta is the stock's own regression against the published index of the exchange it is listed on — 0.8907, on weekly observations over nearly five years, passing the usability gate — and it replaces an assumed unit beta the superseded edition carried because an earlier attempt on five annual observations was unusable. Second, the country risk enters exactly once: the observed local yield is reduced by this sovereign's own default spread and the premium added back carries the country risk, rather than the raw yield being combined with a country-loaded premium. Third, both premium bases are published and the market basis is named as the adopted one; the rating basis is shown beside it rather than averaged into it.

Disclosed staleness of the macro anchors: The house Egyptian path's sovereign quote and currency spot are both anchored 2026-08-06 and this study is struck against the latest known price, 2026-09-03 — 28 days later. Refreshing a house macro path is a house-level act rather than a step of one name's rebuild, so the staleness is DISCLOSED and deliberately accepted rather than switched off, exactly as this house already treats a deliberately-accepted stale sovereign quote.

1.9 Sensitivity — the margin, the discount, and the rate spread

Holding the lender and associate marks fixed, the first grid re-prices the sum-of-the-parts across the Auto gross-margin path and the complexity discount; the second across the cost of capital and terminal growth. The stake is not the open question in either — what matters is the discount applied to its mark, priced in the §1.1 table, which dominates both of these grids combined.

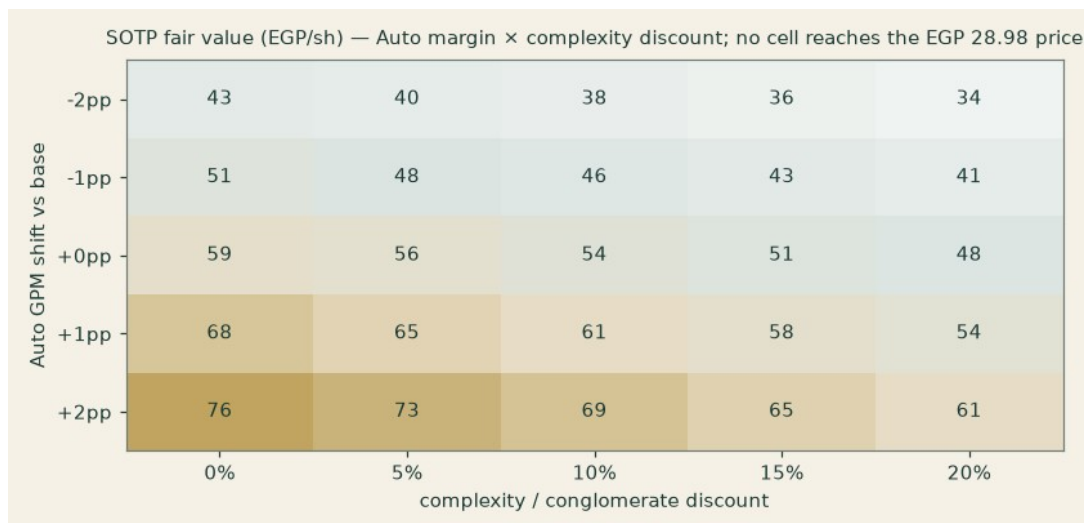


Figure 2 — Sum-of-the-parts fair value (EGP/share) across the Auto gross-margin shift and the complexity discount. No cell in the grid reaches the EGP 28.98 price; the nearest is EGP 34.1.

Cost of capital \ terminal growth	5.0%	6.0%	7.0%	8.0%	9.0%
20.9%	55.9	61.3	68.8	n.m.	n.m.
21.9%	50.8	54.7	59.9	67.2	n.m.
22.9%	46.7	49.7	53.5	58.6	65.6
23.9%	43.5	45.8	48.7	52.4	57.3
24.9%	40.9	42.7	44.9	47.7	51.3

Sum-of-the-parts fair value (EGP/share, after the complexity discount) across the cost of capital and terminal growth. The centre cell, 22.9% against 7.0%, is EGP 53.5. Both axes are centred on the model's own build rather than on round numbers: the rate axis shifts the *WHOLE* schedule, explicit years and terminal together, because moving one rate and not the others would price one date at two prices. This grid holds the MNT-Halan mark fixed and is not the dominant sensitivity in this study.

2 Technical and price structure

The technical read is computed on the exchange library's own last session — EGP 29.51 on 23 August 2026 — which is a different and older clock than the price the valuation is struck on. On that session the price sat below the 20- and 50-day averages and above the 100- and 200-day averages: the long trend is intact and the short one has rolled over. The oscillator reads 40.2, below neutral and well above oversold; the convergence histogram is -0.27, so short-term momentum is negative. The 52-week range runs EGP 19.10 to 34.20, and the session sits 69% of the way up it.

Indicator	Reading	Signal
Close the read is computed on	EGP 29.51 (23 August 2026)	—
20-day / 50-day average	EGP 30.80 / 30.83	Price -4.2% / -4.3% — short-term down
100-day / 200-day average	EGP 28.63 / 28.04	Price +3.1% / +5.2% — long trend intact
Relative strength (14)	40.2	Below neutral, above oversold
Convergence (12,26,9)	line -0.24 / signal +0.03 / histogram -0.27	Negative — momentum has rolled
52-week range	EGP 19.10 - 34.20	69% of the way up the range
Realised volatility (252 sessions)	35.1%	Elevated but off crisis highs



Figure 3 — Price versus the moving-average stack, last 260 sessions of the exchange library.

For the probabilistic work this matters in one way, and it is the opposite of what the superseded edition said. A tape that has come off its short averages with negative momentum thins the near-term upside tail rather than thickening it. The technical and fundamental pictures still disagree — the fundamental work says value has been reached and the tape says the market is not yet interested — and §6 reads the resulting probability zones without forcing a reconciliation between them.

3 A probabilistic price map

The probability read below opens the section: computed from the same 50,000 paths as everything that follows, it is a summary of the distribution rather than an input to it.

The probability read (3 months)	
Probability the price finishes above the anchor	58%
Probability of +10% against -10% — the odds	39% against 24% · 1.66 : 1
Median level, and its move	EGP 30.14 (+4.0%)
The 50% band (25th-75th percentile)	EGP 26.32 - 34.55 (-9% / +19% of the anchor)
Probability of touching +10% / -10% at any point	65% / 49%

We simulate 50,000 three-month price paths from the exchange library’s last session, EGP 29.51 on 23 August 2026. Width comes from a pooled cascade on a gap-aware variance proxy, projecting the average daily variance over the window — 49.7% annualised at this origin, regime-conditional by construction and with no calibration multiplier bolted on. Shape comes from unit-variance fat-tailed innovations through a per-path mixture: a tighter interquartile body and honest tails. Drift is the expanding-window secular term measured on this stock’s own history (+2.5% per quarter), which is the configuration that passed the calibration test in Appendix B where zero drift did not. A sixteen-factor stack layers on top — seven continuous drivers and nine discrete events, each firing with a probability and an impact — together adding +1.46% over the quarter.

By design the paths diffuse from the anchor as near-term price and deliberately do not embed the fundamental value. The value gap of §1 is kept out of the drift. §3 maps where price could go from here, not where value sits. The upward median is this stock’s own measured behaviour surviving a calibration test — never a target, and never the §1 value gap smuggled in through a side door.

Continuous factor	Direction	Discrete event (9)	Probability	Mean impact
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(7)				
Egyptian passenger-car demand and the rate-cut cycle	+	A results release inside the window	90%	+0.5%
Currency drift through imported assembly content	±	MNT-Halan second closing at or above the round	45%	+1.5%
Policy easing — affordability and lender margin	+	A policy cut of 100 basis points or more	50%	+1.0%
Regional conflict drag on Iraq and Jordan	—	Regional escalation spillover	25%	−2.5%
Chinese grey-import competition	—	A new entrant resetting price points	35%	−1.0%
Localisation and the assembly-plant ramp	+	Plant ramp or a new assembled model	55%	+0.6%
Funding cost and the provisioning cycle	—	Dividend or capital-return surprise	15%	+0.8%
		A step devaluation of the pound	12%	−2.0%
		Index flows or an index event	25%	+0.8%

The factor stack is the preparer's own judgment, stated so a reader can disagree with each line. It is deliberately modest in aggregate: the whole stack moves the quarter by less than two per cent.

Percentile map (EGP per share)

Horizon	p5	p25	p50	p75	p95
1 month	23.60	27.14	29.37	31.79	36.64
3 months	20.63	26.32	30.14	34.55	44.08

Lead with the 50% band rather than the tails: a quarter ahead, half of all paths finish between EGP 26.32 and 34.55; at one month the band is EGP 27.14–31.79. The 5th-to-95th cone is context, not a forecast.

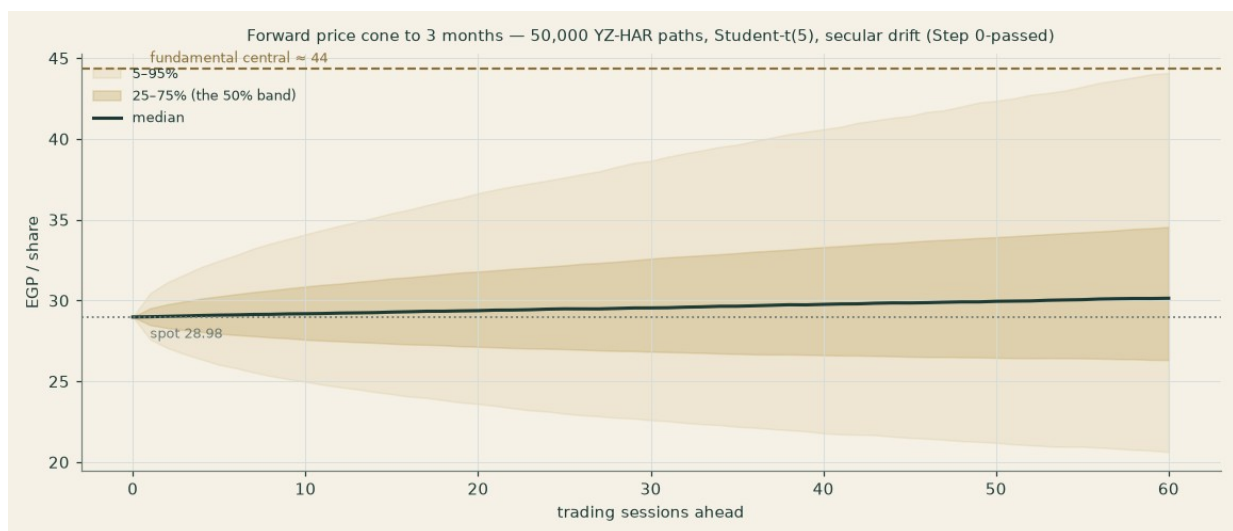


Figure 4 — Forward price cone to three months. The median drifts up with the calibrated secular term; the brass dashed line marks the fundamental central, which sits above the whole cone.

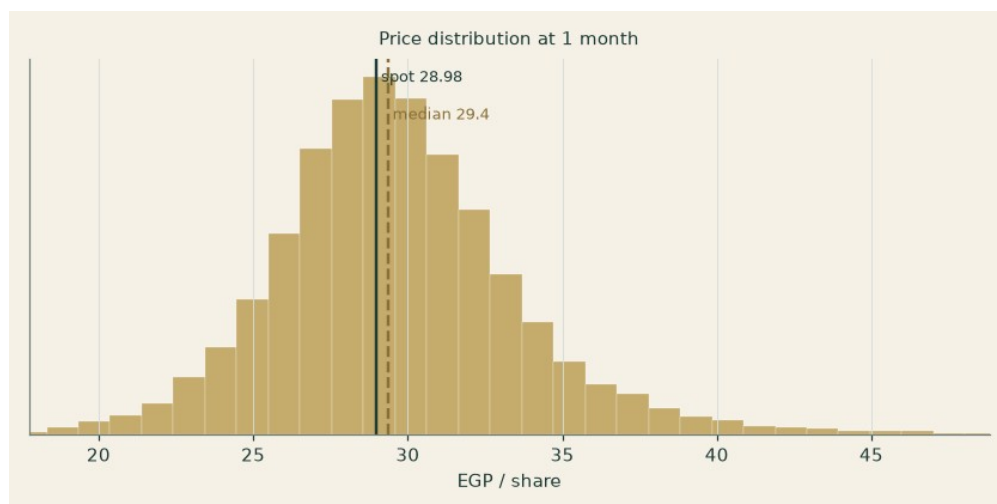


Figure 5 — Price distribution at one month.



Figure 6 — Price distribution at three months.

Level-touch ladder

The probability that price touches a level at any point by the horizon — the running maximum for levels above the anchor, the running minimum for levels below it:

Level (EGP)	1-month touch	3-month touch	Against the anchor
40	3%	16%	+35.5%
38	5%	23%	+28.8%
36	9%	32%	+22.0%
34	19%	46%	+15.2%
32	38%	64%	+8.4%
30	70%	85%	+1.7%
28	63%	76%	-5.1%
26	28%	48%	-11.9%

Every rung and every probability in this ladder is computed from the same 50,000 paths; the distance column is measured against the session the cone was struck on, not against the later price the valuation uses.

4 Comparison of the lenses

Three readings sit side by side and they genuinely disagree. The fundamental reads spread EGP 28.88 to 53.53 with a central of 44.33, +53% against the price — and that spread is dominated by one line, the MNT-Halan mark, whose value rather than whose existence is the open question. The technical picture has turned: the price came off its short averages with negative momentum and sits in the middle of its own 52-week range. The probabilistic map is the one piece untouched by any of this: its median (30.14) sits above the anchor because the repricing that carried this stock over the sample period has not yet statistically died. That is a description of measured price behaviour, not a claim about value, and it does not know what an associate stake is worth.

Lens	What it reads	Central / implication
Fundamental (four reads)	Below the central — if the mark holds	EGP 44.33 (+53%)
Fundamental (primary read alone)	The sum-of-the-parts on its own	EGP 53.53 (+85%)
Technical	Momentum lost, long trend intact	Below the 20- and 50-day averages; above the 100- and 200-day
Simulation (three months)	Drift up, right-skewed	Median 30.14; p5-p95 20.63-44.08

A fair-value read, not a recommendation. GB Corp reads below its central estimate on fundamentals (+53%), and that reading rests on a number the company itself stated: a 41.61% holding in MNT-Halan. What is not stated anywhere is what that stake is worth to the market. Taking the round's valuation at face value makes the stake alone 79% of GB Corp's market capitalisation, which the market plainly does not credit. Strip the associate leg out and what remains — the auto business and the lender — reads within 13% of the traded price, in line with what the tape and the distribution already show. The honest summary is that the operating business is priced about right, and whether the shares are cheap depends on how much of a discount the market is entitled to apply to an unlisted minority financial-services stake. That is a legitimate valuation question this study raises rather than settles. The bear-to-bull span, EGP 27.40 to 67.65, is wide enough on its own to demand real humility. We publish the distribution, not a target.

5 Catalysts to watch

- **The next results release.** The reviewed half to 30 June 2026 is the anchor this forecast is struck on; the next print is the first test of whether the auto gross margin holds where that half left it, and of whether the finance-cost line responds as policy eases.
- **Policy meetings.** Each cut lowers GB Capital's funding cost, the customer's instalment and this study's discount rate at once — the single most mechanical catalyst on the list.
- **The MNT-Halan mark, not the stake.** The company has stated its holding. What is open is whether the market accepts the round's valuation at face value or applies a steeper illiquidity and minority discount. Any secondary transaction, or any further disclosure bearing on how an unlisted minority stake of this size should be marked, is the most value-relevant event available.
- **The second closing of that round.** It would test whether the round's valuation holds or moves; it does not change the ownership percentage, which the company has already stated.
- **The assembly-plant ramp and new models.** Added capacity and local content, and the inventory unwind behind them, are the visible working-capital catalysts.
- **Competitive pricing from new entrants.** The clearest threat to passenger-car prices and share in a recovering market.

- **Regional normalisation.** Part of passenger-car revenue is Iraq and Jordan. This study does not hold a sourced split of that revenue for the reviewed half, so the exposure is named and not priced; any de-escalation restores the fastest-margin sales in the mix.
- **The pound.** A step devaluation is the compound risk — assembly costs, rates, and the pound value of every mark at once; continued stability is the quiet tailwind.
- **The dividend decision.** A payout step-up would mark the cash-conversion inflection this study is waiting for. The model's own forecast cash flows carry the constraint: the first forecast year converts EGP 151 mn of free cash flow against EGP 5,384 mn in the last.

6 Reading the probability zones

Translating the three-month distribution into plain zones, anchored on the EGP 29.51 session the cone was struck from and on the fair-value cluster of \$1:

Zone (3 months)	Range	Probability	What it would mean
Deep downside	below EGP 26	23%	Regional escalation or a devaluation; tests the lower shelf
Lower band	EGP 26–30	26%	Margin proof delayed; the relative read dominates
Around the anchor	EGP 30–34	24%	Status quo; fair value and price coexist
Upper band	EGP 34–38	14%	Cuts and the working-capital release credited
Strong upside	above EGP 38	14%	Repricing continues; the discount narrows toward net asset value

The distribution is right-skewed by construction: the calibrated secular drift plus fat-tailed innovations put 14% of terminal mass above EGP 38. Read that with Appendix B open. The drift term is what the calibration test accepted, and that appendix states the margin rather than flattering it. This is the spread of outcomes consistent with the stock's own measured behaviour and the factor stack; it is not a forecast.

7 Caveats and what would change our mind

- **The stake is stated; what it is worth is not.** GB Corp's own 9 June 2026 press release states its holding at 41.61%, against 42.58% before that transaction. That removes the sourcing uncertainty. What remains open is the mark: taking the round's valuation at face value makes the stake worth EGP 27.7 bn, or 79% of the entire market capitalisation. If the market is right to discount that mark far more heavily than this study's uniform 10%, the sum-of-the-parts compresses toward the relative and normalised reads — that is, toward the price, not away from it.
- **The construction of the central is itself a judgment, and it is recorded as one.** The published central is a weighted blend of four reads at weights that were chosen and written down and have never been tested out of sample. The primary read alone is EGP 53.53, 20.7% above the blend. The blend is the lower number and it is what this edition publishes; a reader who prefers the primary read should use it and can, because both are printed.
- **Working capital is the second-order model.** The operating leg's value lives in the glide of working-capital intensity from 26.5% of revenue to 21.5%. If the higher figure is the new structural cost of holding share — import finance and assembly stock — the auto leg is worth materially less, and the \$1.9 grid rather than a single sentence is where that is priced.

- **Terminal-value dependency, and a life that could not be sourced.** 84% of the auto leg's enterprise value is terminal value, at a terminal spread of 7.18% between the cost of capital and growth. Worse, the house standard is that a terminal rests on a disclosed asset life, and none could be sourced here: the policy note gives rate ranges rather than a scalar, and the identity route depends on an undisclosed land split. The refusal is recorded in §1.2 rather than resolved by choosing a life, and it is the largest single piece of unfinished business in this study.
- **The drift is empirical, and it is thin.** The secular drift is what the calibration test accepted where zero drift did not, but Appendix B publishes the margin: on 56 non-overlapping windows the coverage of the 90% band is 93% against a 90% target, and the proper score against the naive benchmark is -1.8%. A regime turn would flip the median read; the drift is re-tested at every roll-forward and cut the moment it fails.
- **The associate mark is real but private.** The round is a genuine transaction price — cash changed hands — but for an unlisted company, and on public reporting only an initial tranche of an ongoing round. The stake applied to it is stated and current; the bear case applies a much heavier discount to the mark itself, which is why its floor sits far below the base case.
- **The lender is a credit cycle.** GB Capital's adjusted return and its loss rates are cycle-friendly numbers struck in an easing cycle; a funding-market seizure or a deterioration in credit would break the one-times-book mark.
- **Consolidation approximations.** The consolidated forecast maps eliminations, minority interests and the grouped balance-sheet layout with stated simplifications. Segment disclosure, not audited consolidation schedules, is the source for the split of the group into legs.
- **The far forecast years are ranges, and thin ones.** Appendix A publishes the third, fourth and fifth forecast years as ranges taken from how wrong this method has been on this company's own history. Those ranges rest on a handful of observations each — the table prints the count beside every one — and the count is what tells a reader what the range can and cannot promise.
- **Technical reminder.** The technical read is context, not a trigger, and it is computed on an older session than the price the valuation is struck on. Both dates are printed wherever either figure is quoted.

Appendix A Financial statements

The historical columns are the company's own consolidated income statement as originally reported, taken from the earnings release named against each year; every year is asserted to foot against its own arithmetic before it enters this study. The forecast columns are the model's own build and reprice from the drivers in the companion workbook.

A.1 The far forecast years, published as ranges

The method behind this forecast was tested on GB Corp's own history before it was trusted on its future: the driver model was rebuilt as it stood at a series of past origins, projected forward, and every driver scored against what the company actually went on to report. The table below carries what that record supports for the third, fourth and fifth forecast years — a RANGE rather than a point. Read the basis column: these bounds are the SPAN OF THE OBSERVED OUTCOMES, not percentiles. With the counts shown, a percentile would be a statistic invented for the occasion, and this study does not invent one.

The bands are stated as the ratio of what the company REPORTED to what the method FORECAST, so a figure above one is a year the method came in low. They are applied by multiplying the point projection.

Forecast year	Low	Point	High	Band applied	Basis	Observations
Group revenue (EGP mn)						

FY2028	86,139	145,578	324,625	0.59–2.23×	span	7
FY2029	75,162	168,525	303,952	0.45–1.80×	span	6
FY2030	64,968	191,817	391,594	0.34–2.04×	span	5
Group gross profit (EGP mn)						
FY2028	20,525	22,653	34,672	0.91–1.53×	span	7
FY2029	24,474	26,376	48,151	0.93–1.83×	span	6
FY2030	19,002	30,205	58,174	0.63–1.93×	span	5
Group operating profit (EGP mn)						
FY2028	12,995	12,462	24,477	1.04–1.96×	span	7
FY2029	15,490	14,663	33,145	1.06–2.26×	span	6
FY2030	14,399	16,969	38,909	0.85–2.29×	span	5
Group net profit (EGP mn)						
FY2028	9,188	7,474	17,110	1.23–2.29×	span	3
FY2029	15,675	9,309	29,559	1.68–3.18×	span	2
FY2030	31,265	11,219	31,265	2.79–2.79×	span	1

Table A0 — the third, fourth and fifth forecast years as ranges. Each band is the full span of that many past readings of how far out this method has been on this company, applied to the point projection above. The observation count falls as the horizon lengthens, because a five-year error can only be scored where five years of history have since resolved.

What a range of this kind can honestly promise, at each of the record lengths above:

- The range is the full span of 1 past observation of this method's own error. That is too few to carry a probability, and none is claimed: it is the widest and narrowest this method has been on this company, not a confidence interval.
- The range is the full span of 2 past observations of this method's own error. That is too few to carry a probability, and none is claimed: it is the widest and narrowest this method has been on this company, not a confidence interval.
- The range is the full span of 3 past observations of this method's own error. That is too few to carry a probability, and none is claimed: it is the widest and narrowest this method has been on this company, not a confidence interval.
- The range is the full span of 5 past readings of how far out this method has been on this company. A span of 5 readings would be expected to contain the next one about 67 times in 100 — not 90. Tested against 43 resolved readings on bands resting on the same 5 readings, ranges of this kind contained the outcome 51 times in 100. Read it as the widest and narrowest we have been, which is narrower than a confidence interval rather than wider.
- The range is the full span of 6 past readings of how far out this method has been on this company. A span of 6 readings would be expected to contain the next one about 71 times in 100 — not 90. Tested against 30 resolved readings on bands resting on the same 6 readings, ranges of this kind contained the outcome 50 times in 100. Read it as the widest and narrowest we have been, which is narrower than a confidence interval rather than wider.
- The range is the full span of 7 past readings of how far out this method has been on this company. A span of 7 readings would be expected to contain the next one about 75 times in 100 — not 90. Tested against 21 resolved readings on bands resting on the same 7 readings, ranges of this kind contained the outcome 48 times in 100. Read it as the widest and narrowest we have been, which is narrower than a confidence interval rather than wider.

One line of the table deserves its own sentence. The net-profit band rests on the fewest observations of any driver here, and at the fifth forecast year on a single one — a span of one reading is not a span at

all, and it is printed with its count rather than dressed up. Net profit is the most geared line in this model: it sits below a finance cost and a tax charge, so a modest error on revenue arrives at the bottom multiplied. That is why the range widens down the table rather than narrowing.

A.2 Income statement — reported (EGP mn)

Line	FY2023	FY2024	FY2025
Revenue	28,317.2	53,969.5	80,229.8
Gross profit	6,884.5	10,514.6	12,431.1
Selling and marketing	-2,550.4	-3,623.4	-5,329.7
General and administration	-880.4	-1,220.2	-1,217.6
Other income	523.2	505.6	912.2
Provisions	-268.9	-355.7	-165.1
Operating profit	3,977.0	6,176.6	6,631.0
Share of associates	1,061.7	867.6	974.8
Operating profit including associates	4,769.7	6,688.5	7,605.7
Foreign-exchange gains (losses)	-1,499.2	-291.6	-37.1
Net finance cost	-965.8	-2,397.8	-3,702.1
Profit before tax	2,304.7	3,999.1	3,866.5
Income tax	-493.2	-939.2	-1,086.1
Profit before minority interest	1,811.4	3,059.9	2,780.5
Minority interest	79.3	-131.8	99.6
Profit attributable to the parent	1,890.8	2,928.1	2,880.0
Gross margin	24.31%	19.48%	15.49%
Net margin	6.68%	5.43%	3.59%
Earnings per share (EGP)	1.74	2.70	2.65

Table A1 — the consolidated income statement as the company reported it; one column per year, every figure read from the study's committed record. Deductions are printed as the negative figures the statement carries, so a reader adding the column reaches the subtotal beneath it. Sources: FY2023 — GB_Corp_ER_4Q23_-_ER_-_FINAL.pdf, 2024-03-01; FY2024 — GB_Corp_ER_4Q24-_E_-_Final.pdf, 2025-02-01; FY2025 — GB_Corp_ER_4Q25-_E_-_Final.pdf, 2026-02-26.

A.3 Income statement — forecast (EGP mn)

Line	FY2026	FY2027	FY2028	FY2029	FY2030
GB Auto revenue	78,550	95,736	112,459	128,714	144,761
GB Capital revenue	21,377	27,791	34,738	41,686	49,189
Intercompany eliminations	-1,099	-1,359	-1,619	-1,874	-2,133
Total revenue	98,828	122,168	145,578	168,525	191,817
Gross profit	14,639	18,603	22,653	26,376	30,205
Selling and administration	-7,906	-9,651	-11,355	-13,061	-14,770

Other income	1,087	1,344	1,601	1,854	2,110
Provisions	-296	-367	-437	-506	-575
Operating profit	7,523	9,929	12,462	14,663	16,969
Share of associates	1,250	1,430	1,630	1,830	2,030
Operating profit including associates	8,773	11,359	14,092	16,493	18,999
Net finance cost	-4,100	-3,800	-3,500	-3,300	-3,100
Profit before tax	4,673	7,559	10,592	13,193	15,899
Income tax	-1,309	-2,117	-2,966	-3,694	-4,452
Profit before minority interest	3,365	5,443	7,626	9,499	11,448
Minority interest	-67	-109	-153	-190	-229
Profit attributable to the parent	3,298	5,334	7,474	9,309	11,219
Gross margin	14.81%	15.23%	15.56%	15.65%	15.75%
Earnings per share (EGP)	3.04	4.91	6.89	8.58	10.33

Table A2 — the consolidated forecast, computed from the committed group drivers. It is one arithmetic, printed here and recomputed by the companion workbook, rather than a transcription of an Excel run. THE THIRD, FOURTH AND FIFTH COLUMNS ARE POINTS INSIDE THE RANGES OF TABLE A0 and should be read with that table open.

A.4 The Auto leg — free cash flow (EGP mn)

Line	FY26E	FY27E	FY28E	FY29E	FY30E
Auto revenue	78,550	95,736	112,459	128,714	144,761
Operating profit	5,813	7,563	9,334	10,812	12,160
Operating profit after tax	4,185	5,445	6,721	7,785	8,755
Plus depreciation and amortisation	864	1,053	1,237	1,416	1,592
Less capital expenditure	(3,000)	(2,400)	(2,500)	(2,600)	(2,800)
Less increase in working capital	(1,899)	(3,118)	(2,494)	(2,533)	(2,163)
Free cash flow to the firm	151	980	2,964	4,068	5,384

Table A3 — the Auto leg's cash flow, line for line as §1.2 discounts it. Deductions are printed as magnitudes in brackets and the labels state the operation, so the column can be followed to the result.

A.5 The balance-sheet anchors the bridge stands on

Item	Value (EGP mn)	As at	Source
Cash and equivalents	10,951.5	2026-08-13	Company (investor relations)

Borrowings, group	42,476.0	2026-08-13	Company (investor relations)
Borrowings, GB Auto segment	22,733.1	2026-08-13	Company (investor relations)
Total equity	35,127.9	2026-08-13	Company (investor relations)
Auto net debt used in the bridge	14,623.7	2026-06-30	segmented balance sheet, GB Auto column
Auto non-controlling interests deducted	590.7	2026-06-30	that leg's own minority

Table A4 — the bridge stands on the latest disclosed balance sheet, the reviewed statements to 30 June 2026, and not on the prior year end. The deduction is the AUTO leg's own net debt and the AUTO leg's own minority, because the lender's borrowings are its raw material rather than its leverage.

Appendix B Calibration — testing the price cone on this stock's own history

Before any forecast we test the price cone on GB Corp's own history. At 56 non-overlapping three-month origins, using only the data available at each origin, the engine generates the three-month-ahead distribution and the realised close is scored against it. What is published here is what a reader can use: how often the bands actually held, with the count printed beside every percentage.

Configuration	Windows	50% band held	80% band held	90% band held	Distribution centre
Zero drift — non-overlapping	56	59%	84%	93%	0.57
Secular drift — non-overlapping	56	55%	80%	93%	0.59
Secular drift — monthly origins	158	49%	84%	91%	0.59

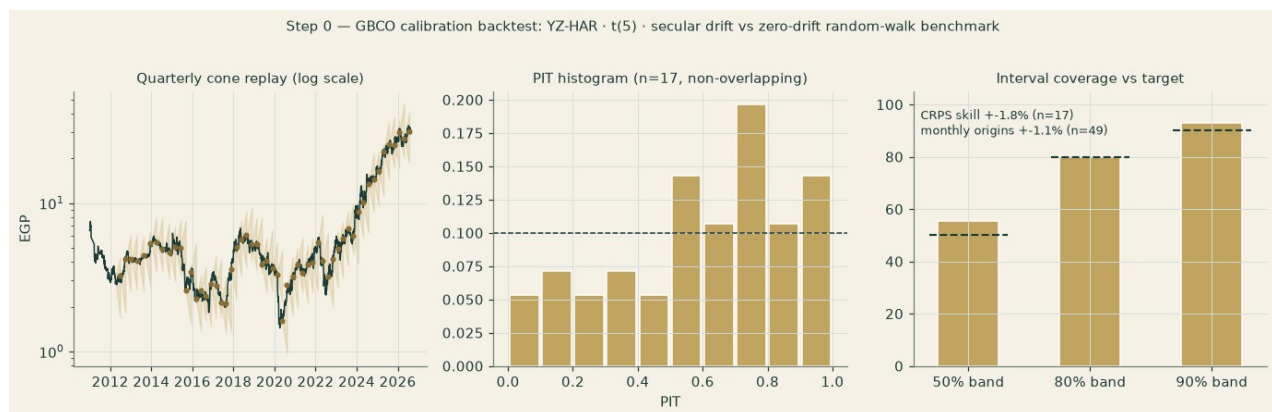


Figure B-1 — the calibration replay: the quarterly cone against what actually happened, the distribution of where outcomes landed inside the cone, and coverage against target.

Read the middle row. On 56 windows the 90% band contained the close 93% of the time against a 90% target, the 80% band 80% against 80%, and the 50% band 55% against 50% — a cone that held about as often as it promised at the wide end and slightly more often than promised in the middle. The centre of the distribution sits at 0.59 against a neutral 0.50, which

says outcomes landed a little higher in the cone than the middle of it: this engine has been calling this stock's advance slightly low rather than slightly high.

The honest caveats. The proper score against a naive benchmark is -1.8% on non-overlapping windows and -1.1% on the denser monthly origins — that is, this cone does not beat a carry-anchored random walk on that score, and the case for the drift term rests on the coverage and the centring rather than on a score margin. The drift is re-tested at every roll-forward and cut the moment the coverage record stops holding. This is decent validation of a band, not proof of an edge, and the difference is the whole point of printing the counts.

Appendix C Peer set, sector structure, and risks

GB Corp has no clean single comparable — an auto assembler-distributor, a non-bank lender and a fintech associate in one wrapper. The peer set is therefore split by leg, and it is used for cross-checks only: no peer is a source for GB Corp's own reported figures.

Leg	Closest peers	How they are typically valued
Auto assembly and distribution	Gulf and regional auto distributors; listed consumer-durables names on this exchange	Enterprise value against operating profit; earnings multiples
Non-bank consumer and corporate finance	Listed Egyptian finance companies with a comparable book	Price to book against the return on that book
Fintech associate	Listed payments and financial-technology names on this exchange	Private marks; the last round is the only observable price

Sector structure and principal risks. The Egyptian passenger-car market is in a policy-assisted recovery, with the easing cycle restoring affordability, localisation incentives reshaping the assembled-versus-imported mix, and new entrants resetting price points. Consumer and corporate finance is growing faster than banking credit off a low base, with securitisation deepening as a funding market. The principal risks are a structurally higher working-capital intensity; a renewed devaluation; regional conflict freezing the Iraq and Jordan lines; price competition from new entrants; credit-cycle deterioration in the lending book; a private-market re-pricing of the associate stake; and execution on the assembly ramp.

Appendix D The expert valuation panel

Every study closes with a panel of standing expert personas, so that each accumulates a track record across studies and an update is a re-run rather than a re-training. For GB Corp we cast the industrial trio, adding the cash-returns lens because the name is capital-heavy: Expert 1 (the accountant — net asset value and the marks), Expert 2 (earnings power — normalised mid-cycle earnings and multiples), Expert 3 (cash returns — return on capital against its cost). Each runs a different method, derives its value from shown workings, and states in advance what would falsify it.

D.1 Expert 1 — the split-legs net asset value and the marks

Worldview. A group is worth the sum of its parts at realisable value, less a discount for the wrapper. Mark each leg to what it would fetch on its own; then argue only about the discount.

When it works and when it fails. Best where the legs are separable and independently markable; it fails hardest when the discount applied to a private mark is itself contestable, which is exactly his position here.

Expert 1's marks	EGP mn
Auto leg (he accepts the \$1.2 cash-flow value)	26,998
GB Capital at one times adjusted book	9,500

Associates: MNT-Halan plus the residual holdings	28,061
Σ before the discount	64,558
less: wrapper discount at 8% — an operator, not a passive holding company	(5,165)
Equity value	59,394
Per share	54.72

Sensitivity — the swing is the discount on the mark, now that the stake is stated. Marking MNT-Halan at three quarters of the round's valuation takes his number to EGP 48.85 per share; at half, to EGP 42.99. He concedes the point openly: the stake is not the argument any more, the argument is what a 41.61% minority holding in an unlisted company is worth to a public-market buyer who cannot sell it, and that is a discount-rate question rather than an ownership question. Cross-examination: he tells Expert 2 that capitalising mid-cycle earnings double-counts assets he has already marked at full value; he tells Expert 3 that a haircut on the return on capital is small next to the swing available from how hard you discount an illiquid stake.

Verdict, falsification, and what the price implies. Fair value EGP 54.72, on a range of EGP 26.59 to 92.53 — the widest in the room, and driven by the discount debate rather than by an unconfirmed stake. He is falsified by a real secondary transaction in the associate's shares at a materially different price, or by a second closing repricing the round. The traded price implies a discount on the associate leg far steeper than his stated wrapper discount, which in his own view is evidence the market does not accept that the round's marked value transfers cleanly to a minority holder.

D.2 Expert 2 — normalised earnings power

Worldview. An operating business is worth a fair multiple of its sustainable mid-cycle earnings; peaks and troughs are noise to be stripped out.

When it works and when it fails. Best with a through-cycle record, and three disclosed years spanning trough, windfall and normalisation is workable; it fails at structural breaks — if new entrants reset prices permanently, his normalisation is simply wrong.

Expert 2's normalisation	Value
Mid-cycle group profit after tax (EGP mn)	4,200
Shares in issue (mn)	1,085.5
Normalised earnings per share (EGP)	3.87
Justified through-cycle multiple	8.5×
Fair value per share (EGP)	32.89

Sensitivity — the swing is the multiple. At 7.5× his number is EGP 24.87; at 9.5×, EGP 42.01. Cross-examination: he tells Expert 1 that a net asset value struck off a trough-margin cash-flow model understates a business whose volumes are still mid-cycle; he tells Expert 3 that pessimism about cash conversion ignores that working capital is a stock rather than a perpetual flow, and it releases exactly when growth normalises.

Verdict, falsification, and what the price implies. Fair value EGP 32.89, on a range of EGP 24.87 to 42.01 — the most conservative in the room and the closest to the traded price, +13% against it. He is falsified by the auto gross margin staying below the level the reviewed half printed through the next two years, or by the passenger-car market rolling over. His is also the one estimate in the room that never touches the associate stake, which is why it is the number a reader who distrusts that mark should look at first.

D.3 Expert 3 — cash returns: return on capital against its cost

Worldview. A business creates value only when each pound of capital earns above its cost, in cash. He looks past the income statement to the economic-profit spread, and past reported returns to returns excluding one-offs.

When it works and when it fails. Best for capital-intensive compounders where the reinvestment spread is the story; it fails where the capital base is temporarily inflated by a one-off build, which is his own caveat here.

Expert 3's economic-profit test	Value
Auto capital employed, FY2025 (EGP mn)	28,513
Auto return on capital employed — FY2023 / FY2024 / FY2025	35.9% / 31.5% / 21.3%
His hurdle — the first forecast year's cost of capital	22.88%
Spread near nil, so the operating leg is marked at 0.90× capital employed (EGP mn)	25,662
less: Auto net debt and minority (EGP mn)	(15,214)
Operating-leg equity (EGP mn)	10,447
Lender at 0.90× book · associates at 0.85× (EGP mn)	8,550 · 23,852
Fair value per share (EGP)	39.47

Sensitivity — two levers, and he ranks them himself. Moving his haircut on the associate mark from 0.85× to 0.60× costs EGP 6.46 per share; marking the operating leg at 1.00× capital employed instead of 0.90×, which is what a recovery in the return on capital would buy, adds EGP 2.63. The mark is the bigger lever by more than two to one, and that is his point. Cross-examination: he tells Expert 2 that mid-cycle earnings without the capital cost of holding them is a half-truth; he tells Expert 1 that a single-digit wrapper discount does not begin to capture the illiquidity of a minority stake in a company that has never had a public exit.

Verdict, falsification, and what the price implies. Fair value EGP 39.47, on a range of EGP 33.01 to 42.10 — even his conservative method lands +36% against the price once the stated stake is applied at the round's valuation, which he flags as the real finding: the stake was never the issue, the mark is. He is falsified by a durable recovery in the return on capital well above the FY2025 figure, or by a real secondary sale of the associate's shares meaningfully below the round's implied valuation.

D.4 The three in one room

The stake question that dominated an earlier draft of this study is settled — the company stated its holding in writing. What the three disagree on is what that holding is worth.

Expert 1: “The company told us what it owns. Fine — now the argument is honest: it is about the discount, not the number. I apply a single-digit wrapper discount. If you think that is too thin for an illiquid minority stake, argue the discount, not the disclosure.”

Expert 3: “Your own arithmetic says a stated 41.61% stake is worth 79% of the entire market capitalisation. That was true when the number was uncertain and it is just as true now that it is not. The company being straight about its ownership does not make the market's scepticism about the mark go away — if anything it sharpens the question.”

Expert 2: “You are both still arguing about a number that was never in my model. Mid-cycle earnings power does not care what the associate is worth. If you want the one read immune to this whole argument, it is mine — and notice it is also the one closest to where the market actually prices the stock.”

D.5 Reading the divergence

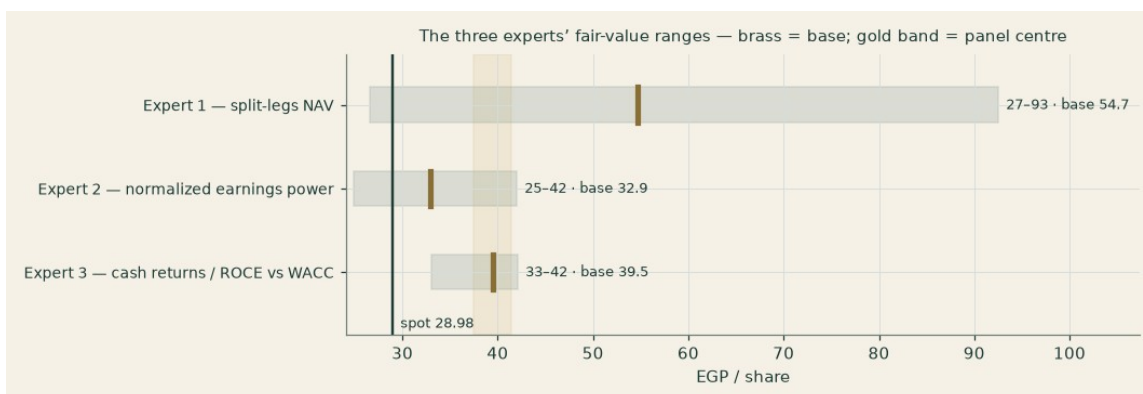


Figure D-1 — the three experts' fair-value ranges. Brass ticks are base cases; the gold band is the panel centre; the ink line is the price. The spread is almost entirely the associate mark.

Expert	Method	The single swing assumption	Base fair value
Expert 1	Split-legs net asset value	The discount on the associate mark (8% wrapper)	EGP 54.72
Expert 2	Normalised earnings power	Mid-cycle profit $\times$ 8.5 $\times$ — stake-blind	EGP 32.89
Expert 3	Cash returns against the cost of capital	Return-on-capital fade plus a 0.85 $\times$ haircut on the mark	EGP 39.47

The spread — EGP 32.89 to 54.72 at base — is wide for what is otherwise a set of broadly agreeing methods, and it is one disagreement rather than several: not the volumes, not the lender's profitability, not the cash-conversion path, and not the ownership percentage, which all three accept. What separates them is purely how much to discount that stake's marked value. Expert 2 sidesteps the question by never pricing the stake; Experts 1 and 3 both use the stated figure and disagree on the haircut. Unlike a business uncertainty that resolves with quarterly prints, this one may never fully resolve, because private-mark discounts are a matter of judgment rather than a fact that appears on a schedule. Until a real secondary transaction supplies an independent data point, Expert 2's stake-blind number remains the one estimate in the room immune to the whole argument.

Each expert's fair value is logged against this study's date (7 September 2026) and the price it was struck at (EGP 28.98, 3 September 2026) as an internal per-expert track record.

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Currency and figures. Figures are in Egyptian pounds, millions unless stated; bn denotes billion. The exchange rate used for the associate mark is EGP 47.5 to the US dollar, and it is a flagged estimate. Rounding may cause totals to differ slightly. The price is EGP 28.98 as at 3 September 2026; the price cone and the technical read are computed on the exchange library's own last session, EGP 29.51 on 23 August 2026. Market data change continuously.